Month 11

ICT MegaTrades Commodities Lesson I :-

What are Mega Trades :-

Large price swings or Trends that can produce massive "potential gains" - that when compared to relative markets - outperforming all others.

They are historically easy to spot in past price action every calendar year.

Huge Institutional sponsorship coupled with strong Influences from actual supply & Demand that these moves.

commodity specialist ?

When following the commodity Markets it is best to avoid being a "specialist" or one Market Trader.

A favorite commodity can provide plenty of setups to consider but it might be a "sleeper" while other markets are on fire.

commodities offer a small universe of markets to analyze & seek Megatrades.

Agricultural Markets :-

→ The first area we look for annual Megatrades is the Agriculturals.
→ These are the markets that feed the world and as a result will have even greater supply & Demand factors that move them.
→ Droughts, Insect Damage, frost or Bumper crops will have enormous effects on prices in these Markets.

Financial Markets :-

→ The next area we look for Annual Megatrades is the Financials.
→ These Markets are hard in nature & Industrious. Industrial supply & Demand factors move them.
→ Wars, Economic drivers, Interest Rates, Imports & Exports will have greater impacts on these kind of commodities.

Dollar based Analysis :-

→ Generally when US Dollar is declining - this allows commodity prices to rise.
→ Conversely when the US dollar rises - this pushes commodity prices lower.

Seeking Megatrades :-

The process in simple terms :-

(i) search headlines for commodities
(ii) Select Premium Markets
(iii) confer with USDX direction
(iv) use relative strength in each sector
(v) Filter leader from each sector
(vi) Try to follow one leader from each
(vii) use option prices for paper trades too.

Forex & currencies :-

Quaterly shifts :-

The impact of quaterly cycles in the markets as a whole - can never be overstated.

Every three Months or so, the Markets tend to form an intermediate term turning point.

The overlapping of Megatrade condition - coupled with this effect is crucial to finding the next explosive market moves.

Seasonal Tendencies :-

→ Seasonal Tendencies are important for Megatrade selections as well.
→ we have covered all the salient seasonal Tendencies for each Market & asset class.
→ The seasonal Tendency may or may not be a factor on all explosive moves - but most tend to be in alignment with this market phenomenon.

The US Dollar Index :-

→ Every significant mover in the forex or currency markets will have it's root in the Price Action of the US Dollar Index.
→ while on very short term - and especially when it comes to Intraday Trading - the USDX can consolidate and still see currencies trade stronger or weaker against it.
→ The search for Megatrades in currencies will depend on the support of the trade idea in the US Dollar Index - or it's not qualified Mega trade setup.

Relative Strength Analysis :-

→ There is two approaches to performing Relative strength Analysis as I define it.
→ The first is to use the underlying futures Price Action comparably - measuring respective highs & lows.
→ The second is to use an overlay tool in the forex market measuring respective highs & lows.

Seeking Mega Trades :-

The process in simple terms :-

(i) Search strong [weak] currency futures.
(ii) study forex pairs respectively.
(iii) Confer with USDX direction.
(iv) Use relative strength in each currency.
(v) Filter leadership currencies.
(vi) Try to follow one or two currencies.
(vii) use option prices for paper traded too.

Stocks :-

Quaterly shifts :-

→ The impact of Quaterly cycles & Earnings in the Market can never be overstated.
→ Every three months or so, the Markets will tend to form an intermediate term turning point.
→ The overlapping of Megatrade conditions - coupled with this effect is crucial to finding the next explosive market moves.

Seasonal Tendencies :-

Explained Already

The Major Market Direction :-

→ Every significant mover in the Stock Market will have it's momentum increased by the General Market Direction.
→ Strong stocks can rally higher without the assistance of the Major Market, but typically accelerate when the broad markets move higher.
→ The search for Megatrades in stocks will depend on the support of the trade idea in the Major Market direction - or it's not a qualified Megatrade candidate.

The Fundamental Screen :-

→ To some degree - there is a fundamental impact to stock prices & their respective movements.
→ having a systematic approach to screening stocks "fundamentally" is advantageous to your bottom line.
→ It is best to keep the screening process short & simple to avoid wasted time & energy. use today's Institutional tools.

Relative Strength Analysis :-

Already discussed

Seeking Megatrades :-

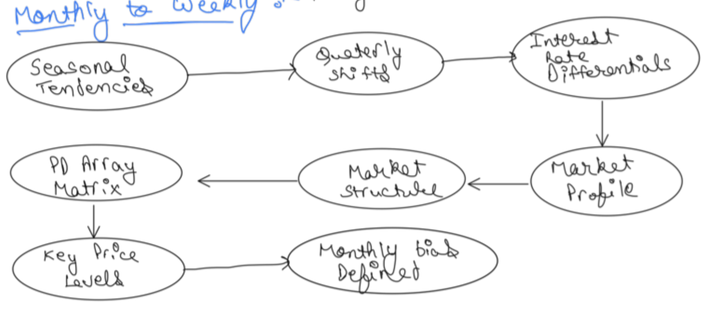
The process in simple terms :-

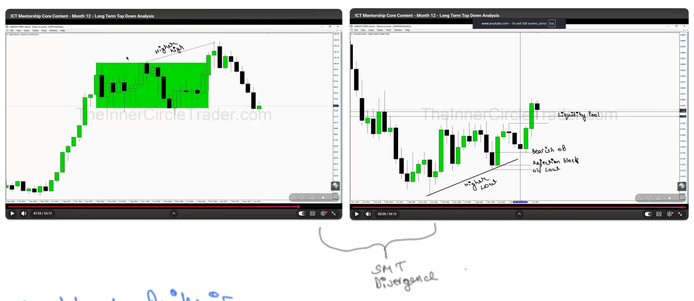
(i) Anticipate next earnings leaders.
(ii) Plan seasonal tendency overlaps annually.
(iii) Refer to direction of Major stock indices.
(iv) Perform fundamental screening.
(v) use relative strength to filter leader stocks.
(vi) use option prices for paper trades too.

Month 12

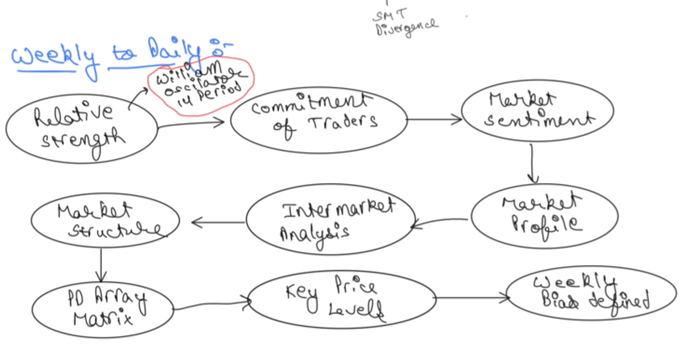
Top Down Analysis :-

Monthly to weekly :- Analyse once a Month



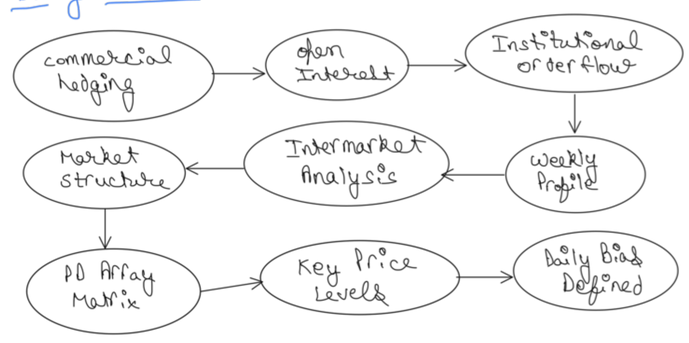


Weekly to Daily :-

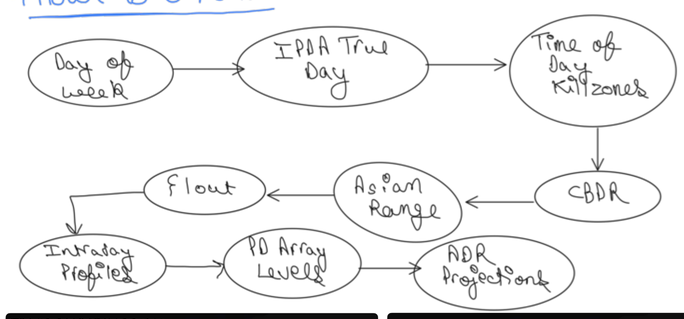


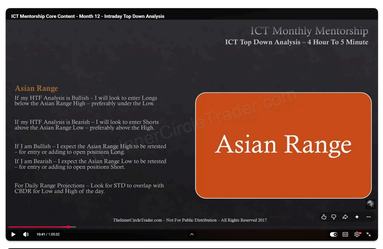


Daily to 4H :-

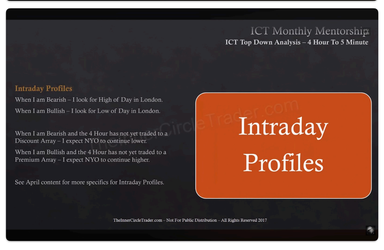


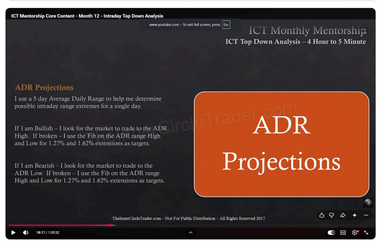
4 Hour to 5 Minute :-











Patterns for consideration :-

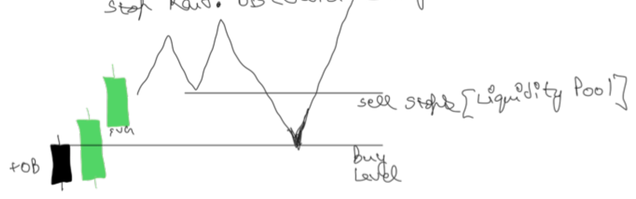


Bullish Pattern #1 :-

condition :- HTF Bullish

stage :- Price bounce off HTF Discount Array, Impulse swing creates a fair value gap near the swing low. A short term low forms in the Market structure and fails to rally higher after equal highs or higher high is formed.

Price drops down into the FVG and under short term Low forming after the impulsive swing forms. sell stops are triggered - smart money uses offset Accumulation to fair long entries with sell stop raid. Discount entry.

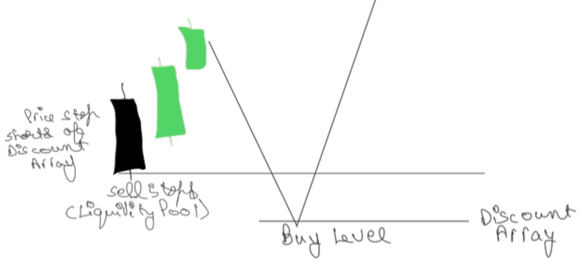


Bullish Pattern #2 :-

condition :- Bullish

stage :- Price bounce prior to HTF Discount Array. Price drops lower into the Anticipated HTF discount Array & raids sell stops Liquidity Pool.

sell stops are triggered - smart money uses offset Accumulation to fair long entries with sell stop raids Discount entry. ICT Turtle soup entry.



Bullish Pattern #3 :-

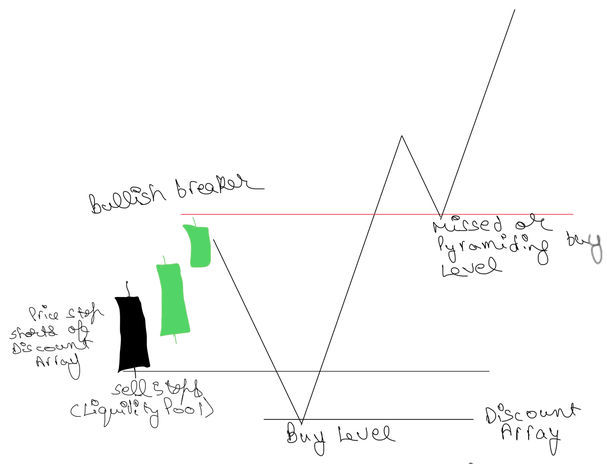
condition :- HTF Bullish

stage :- Price bounce prior to HTF Discount Array. Price drops lower into the Anticipated HTF discount Array & raids sell stop liquidity Pool.

sell stops are triggered - smart money uses offset Accumulation to fair long entries with sell stop raid. Discount entry. ICT turtle soup entry.

If I missed the lower entry on turtle soup long - I wait for bullish breaker to enter long.

If I have a long entry & wish to pyramid my original entry - the bullish breaker provides the stage for my entry.



& vice versa for bearish Pattern